

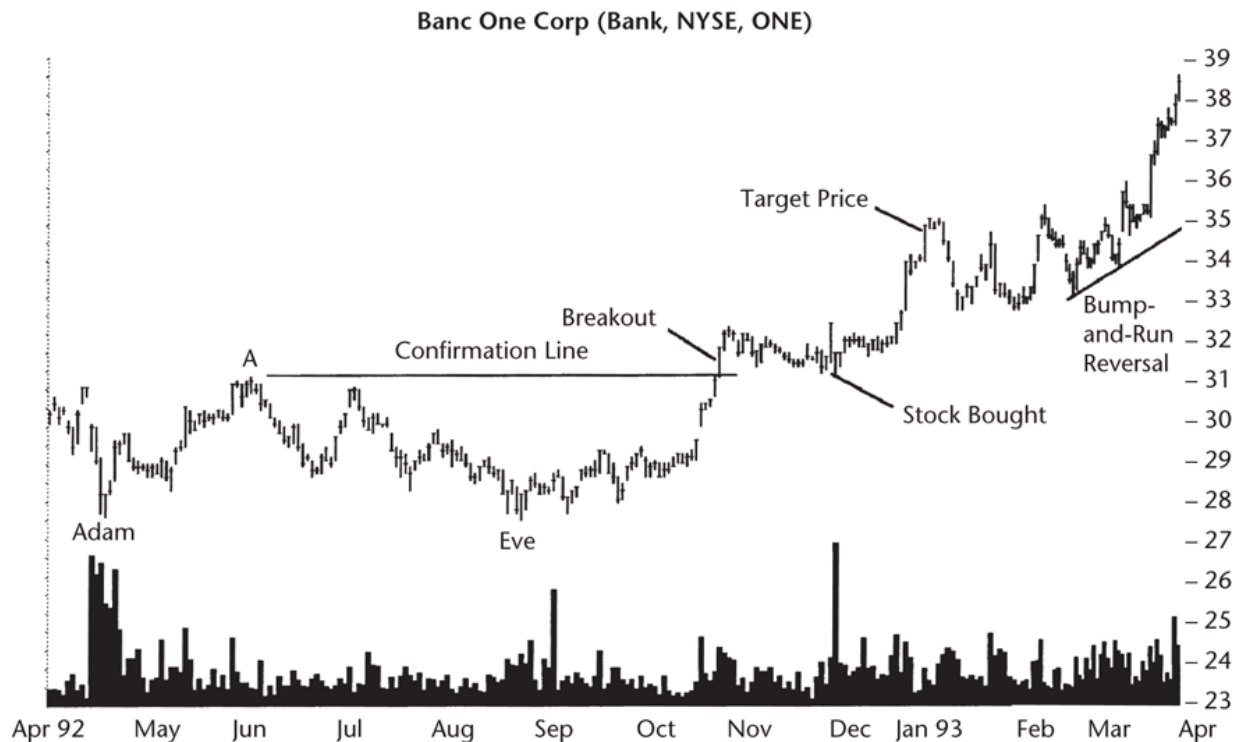


Figure 27.6 Double bottom trading dilemma. How do you trade this double bottom? Do you buy just after the second bottom or wait for price to rise above the confirmation point? A rounding bottom appears from point A to the breakout.

About 4 weeks after the breakout, price dipped to the buy point, but would the stock continue down? “I had to wait until I felt confident that price would rise.” She changed her mind the next day when price made a higher low. It was a gamble, because 2 days of rising prices hardly made a trend. Still, she was getting antsy and didn't want to wait too long and watch price rise above the level that she could have bought a month before. So, she bought the stock and received a fill at 31.38.

The following day, volume spiked to over three million shares and price jumped over 0.75 points. The spike made her nervous as it reminded her of a one-day reversal, but the stock closed at the high for the day, which is odd for the reversal pattern. That is when she remembered to place a stop. “I chose a price of 30.88, about a quarter point below the recent minor low,” an area of prior support.

The following day price erased lower, but succeeding days saw the stock rebound. In mid-December, the stock went ballistic and fulfilled the